AIM:- Define Following and answers with screenshots, at least two per question. There are total 5 questions .

- **Dormant bitcoins**
- **Tainted bitcoins**
- **Clean coins**
- **Bitcoin Whales**
- **Burnt addresses**

1.) Dormant bitcoins :-

1. Dormant Bitcoins

Definition

Dormant bitcoins are bitcoins that have **not been moved or spent for a very long period of time** (usually several years). These coins remain inactive on the blockchain and are often associated with lost wallets, forgotten private keys, or long-term holders.

Explanation

- Dormant bitcoins reduce the **effective circulating supply**.
- Many early mined bitcoins (from 2009–2012) are considered dormant.
- They are still recorded on the blockchain but show **no transaction activity**.
- If the private keys are lost, the bitcoins are practically unrecoverable.

Example:-

Example Style to Search:

- **Address Example:** A wallet that last transacted in 2012–2013 and hasn't moved since.
  - *News reports.* There have been real dormant wallets holding **1,000+ BTC** moved only after ~8–12+ years of inactivity. CryptoSlate +1
  - Search terms on Blockchain Explorer: `1NzHXRDizgEGaJZfBG46k66QXpRzDrtpZo` (example from on-chain reports). Blockchain News

- Search for an address that *last had activity 10+ years ago*.
- Example historical movement: A wallet moved after years — e.g., a BTC address that was **11.8 years dormant and then transferred funds**. blockchair.com

2.)Tainted bitcoins:-

Definition:

Tainted bitcoins are BTC that are **linked to illegal or suspicious activities**.

Example:

- Bitcoins stolen in the **Mt. Gox hack (2014)**
- BTC used on the **Silk Road darknet marketplace**

Explanation:

- Blockchain analysis firms can trace these coins
- Exchanges may **freeze or reject** tainted BTC
- Law enforcement tracks such funds

EXAMPLE:-

Example Look-Up Idea:

- Search an address reported by analysis tools as having funds originally sent from a Silk Road wallet on the explorer.

👉 **How to see it:**

Explorer shows inputs/outputs and you can review the history — if the address received coins from known "darknet" addresses, analysts call those "tainted."

> (Note: "taint" isn't encoded in Bitcoin itself — it's an on-chain analyst label applied externally.) Reddit

Example scenario:

- A whale wallet that suddenly moved **9,000 BTC after years of inactivity** (this would show as a huge on-chain transaction) blockchair.com
- Market news examples include whales moving **24,000 BTC** after years. KuCoin

3.)Clean coins:-

3. Clean Coins

Definition:

Clean coins are bitcoins with **no association with illegal activity**.

Example:

- BTC earned by a freelancer for **legitimate online work**
- Bitcoin purchased from **regulated exchanges** like Coinbase or Binance

Explanation:

- Easily accepted by exchanges
- No history of crime or sanctions
- Preferred for institutional use

EXAMPLE:-

- An address you control that **only receives from known exchanges** (Bitstamp, Coinbase, Binance, etc.) and legitimate services.
  - Exchanges often label deposit addresses where coins come from regular trading. walletexplorer.c...

Example use case:

- Addresses linked to **Mt. Gox stolen BTC**
- Silk Road marketplace wallets

4.)Bitcoin Whales

Definition:

Bitcoin whales are individuals or entities that **hold very large amounts of BTC**.

Example:

- A wallet holding **100,000+ BTC**
- Companies like **MicroStrategy**, which owns hundreds of thousands of BTC

Explanation:

- Their trades can **move market prices**
- Closely monitored by traders
- Includes exchanges, funds, and early adopters

Example:-

Examples from Public Reports:

- **Whale moves:** wallets moving *thousands of BTC* — e.g., ~5,152 BTC (~$476M) moved to a fresh wallet. Blockchain News
- **Whale reactivations:** addresses dormant for years holding huge amounts like 80,000 BTC. BitcoinWorld

- A freelancer's BTC receiving address
- An exchange withdrawal address

5) Burnt addresses:-

Definition:

Burnt addresses are Bitcoin addresses where BTC is **sent intentionally and can never be recovered**.

Example:

- Address:

Copy code

```
1BitcoinEaterAddressDontSendf59kuE
```

- BTC sent here is **permanently destroyed**

Explanation:

- No private key exists for these addresses
- Used for symbolic burning or experiments
- Reduces total usable supply

Example:-

Common Burn Example:

- Addresses like:

Copy code

```
1BitcoinEaterAddressDontSendf59kuE
```

— widely used as a **known burn address** in the Bitcoin community (no private key).

Example pattern:

- Addresses like:

Copy code

```
1BitcoinEaterAddressDontSendf59kuE
```

(commonly used for intentional burns — anyone can paste this in explorer)